(a) I, II and III (b) I and II
(c) III and IV (d) I, II, III and IV

Ans. (a) : The World Bank is an international financial institution that provides loans and grants to the government of low and middle income countries for the purpose of pursuing capital projects.
The banks which constitutes the World Bank are:
(i) International Bank for Reconstruction and Development.
(ii) International Finance Corporation.
(iii) International Development Association.
(iv) The Multilateral Investment Guarantee Agency.
The international centre for settlement.
Thus code (i), (ii) and (iii) are correct.

78. Which one of the following is not an instrument of selective credit control in India?
(a) Regulation of consumer credit
(b) Rationing of credit
(c) Margin requirements
(d) Variable cost reserve ratios

Ans. (d) : The instrument of selective credit in India are:
1. Consumer credit regulation
2. Issue of directives
3. Rationing of credit
4. Moral suasion and publicity
5. Direct Action
6. Securing Loan Regulation by fixation of Margin Requirements.
Thus, option (a), (b), (c) are instrument of selective credit control, whereas option (d) is not a instrument of selective credit control.

79. Bank Rate implies the rate of interest:
(a) Paid by the Reserve Bank of India on the Deposits of Commercial Banks.
(b) Charged by Banks on loans and advances.
(c) Payable on Bonds.
(d) At which the Reserve Bank of India discounts the Bills of Exchange.

Ans. (d) : Bank rate is the rate charged on the loans offered by the central bank to the commercial banks without any collateral.
It is also considered as the rate at which the central bank discounts the bills of the commercial banks.
Bank rates controls the overall supply of money in the economy.

80. The Narasimham Committee for Financial Sector Reforms has suggested reduction in:
(a) SLR and CRR
(b) SLR, CRR and Priority Sector Financing
(c) SLR and Financing to capital goods sector
(d) CRR, Priority Sector Financing and Financing to capital goods sector

Ans. (a) : Narasimham Committee recommendation on financial sector reforms has suggested reduction in CRR and SLR.
The SLR then was 38.5% and CRR was 15%. The high amount of SLR and CRR meant locking the bank resources for government uses which created hinderance in the productivity of the bank, thus the committee recommended their gradual reduction. SLR was recommended to reduce from 38.5% to 25% and CRR from 15% to 3 to 5%.

81. One of the reasons for India's occupational structure remaining more or less the same over the years has been that:
(a) Investment pattern has been directed towards capital-intensive industries
(b) Productivity in agriculture has been high enough to induce people to stay with agriculture
(c) Ceilings on land holdings have enabled more people to own land and hence their preference to stay with agriculture
(d) People are largely unaware of the significance of transition from agriculture to industry for economic development

Ans. (a) : The reason for India's occupational structure remaining more or less the same over the years has been the investment pattern, that has been mainly directed towards capital intensive industries.

82. The main reason for low growth rate in India, in spite of high rate of savings and capital formation is:
(a) High birth rate
(b) Low level of foreign aid
(c) Low capital/output ratio
(d) High capital/output ratio

Ans. (d) : The main reason for low growth rate in India, insipte of high rate of savings and capital formation is high capital/output ratio.
Capital/output ratio is a frequent used tool to explain the relationship between the level of investment made in the economy and the consequent increase in GDP.
A lower capital output ratio shows that only low level of investment is needed to produce a given growth rate in the economy. Whereas high capital output ratio shows that high level of investment required to produce a given growth rate which accounts for low growth rate in country.

83. The largest source of financing the public sector outlay of the Eighth Five-Year Plan comes from:
(a) Balance from current revenue
(b) Contribution of public enterprises
(c) Government borrowings
(d) Deficit financing

Ans. (d) : The largest source of financing the public sector outlay of eighth five year plan comes from deficit financing.
Deficit financing means generating funds to finance the deficit which results from excess of expenditure over revenue. The gap being covered by borrowing from the public by the sale of bonds or printing new money.

84. The new Exim Policy announced in 1992, is for a period of:
(a) 3 years (b) 4 years
(c) 7 years (d) 5 years

Ans. (d) : The Exim Policy or Export Policy is set of guidelines and instructions related to the import and export of goods. The Government of India notifies the Exim Policy for a period of five years (1997-2002), under Foreign Trade Act, 1992.

85. Consider the following:
I. Industrial Finance Corporation of India
II. Industrial Credit and Investment Corporation of India
III. Industrial Development Bank of India
IV. Unit Trust of India
The correct sequence in which the above were established is
(a) I, II, IV, III (b) I, III, II, IV
(c) IV, III, II, I (d) I, IV, III, II

Ans. (a) : Organisation	**Established Year**
Industrial Finance Corporation of India	1st July, 1948
Industrial credit and Investment Corporation of India	5th January, 1955
Unit Trust of India	1st Feb. 1964
Industrial Development Bank Of India	1st July 1964

So, the correct sequence will be (i), (ii), (iv), (iii), and thus option (a) is correct.

PHYSICS

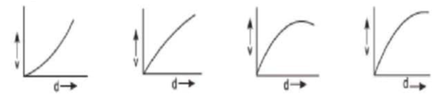
86. The clouds float in the atmosphere because of their low:
(a) Temperature (b) Velocity
(c) Pressure (d) Density

Ans. (d) : The cloud float in the atmosphere because of their low density.
According to law of flotation, when a body floats in a liquid or gas, the weight of the liquid or gas by its immersed part is equal to the total weight of the body.

87. The technique used to transmit audio signals in television broadcasts is:
(a) Amplitude Modulation
(b) Frequency Modulation
(c) Pulse Code Modulation
(d) Time Division Multiplexing

Ans. (b) : Frequency modulation is used to transmit audio signals in television broadcasts. The signal transmitted by this is free from noise and other distortions.

88. A parachutist jumps from a height of 5000 metres. The relationship between his falling speed 'v' and the distance fallen through 'd' is best represented as:



(a) (b) (c) (d)

Ans. (d) : The initial gravity is 'g' when parachutist falls down from the air ship. But when parachute is opened the viscosity of air acts in a place and it opposes the motion so the gravity will fall down to zero. Thus parachutist descend at a constant marginal speed. Thus graph 'd' shows the correct plot for speed vs distance of parachutist.

89. When the same note is played on a sitar and a flute, the sound produced can be distinguished from each other because of the difference in:
(a) Pitch, loudness and quality
(b) Pitch and loudness
(c) Quality only
(d) Loudness only

Ans. (c) : In the case of playing the same note on the sitar and the flute, the difference between the sound produced by them can be recognized due to the sound quality.
The quality of sound depends on the number of harmonic and supersonic present in the sound.

90. Assertion (A): A diamond sparkles more than a glass imitation cut to the same shape.
Reason (R): The refractive index of diamond is less than that of glass.
In the context of the above two statements, which one of the following is correct?
(a) Both A and R are true, and R is the correct explanation of A
(b) Both A and R are true, but R is not a correct explanation of A
(c) A is true, but R is false
(d) A is false, but R is true

Ans. (c) : The flicker of the diamond is due to the high refractive index. As a result its critical angle decreases and there is complete internal reflection of light from its various point. This is the reason why diamond sparkles more than a glass imitation cut to the same shape.
Thus Assertion (A) is correct and Reason (R) is incorrect.

91. Optical fibre works on the principle of:
(a) Total internal reflection
(b) Refraction
(c) Scattering